



Cambridge International AS & A Level

ECONOMICS

9708/12

Paper 1 AS Level Multiple Choice

May/June 2024

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A, B, C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

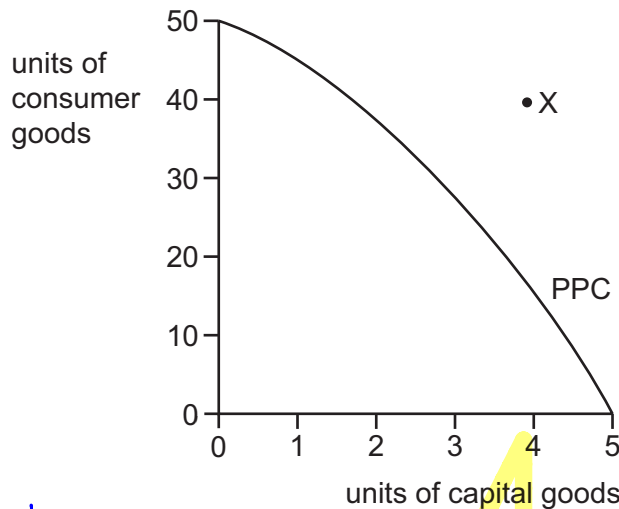
- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

Done

This document has **12** pages. Any blank pages are indicated.



- 1 The diagram shows a production possibility curve (PPC). It indicates the combinations of consumer goods and capital goods produced by an economy using all its available resources.



no connection to point 'X'

unattainable combination of output with given resources

What does position X indicate?

- A a lower ratio of capital to consumer goods is necessary to achieve economic growth
- B increasing levels of unemployment
- ☒ C insufficient factors of production are available
- D too many consumer goods are causing a fall in economic growth

related to shift in PPC, inward demand = supply

- 2 What is produced in a mixed economy but not in a free market economy?

- A demerit goods
- B free goods (unlimited in supply, no opportunity cost, e.g. air)
- C private goods
- ☒ D public goods, non-rival, non-excludable, free rider problem, only by government

also a private good

private and public sector

only private sector

- 3 Earth observation satellites designed to acquire information are close to the theoretical case of a public good. In 2011, the World Meteorological Organisation estimated that improving satellite observations would cost an extra \$1 billion a year.

optim/value judgement

What is a normative statement about Earth observation satellites?

- A The estimated cost of improving satellite observations is \$1 billion a year. *fact*
- B The information received from the satellites is non-rival. (*consumption by one can't reduce it for other, again a fact*)
- C The satellites are designed to acquire the best possible information on climate change.
- ☒ D The responsibility for the cost of Earth observation satellites should be shared by all governments.

optim/value judgement.

again a fact!

4 What is the opportunity cost of a virus to the healthcare service in a country?

- A increased number of hospital patients
- B increased use of personal protective equipment
- C increased stress for staff working in hospitals
- ☒ D increased waiting times to treat non-virus patients

Impact of virus, not an opportunity cost

virus vs non-virus patients
Time ↑ ↓

5 The share of total incomes from profit in a country shows more variation over time than incomes from interest, rent and wages.

Incomes and expenses affect profit, therefore it is subject to more variations
What is the most likely reason for this?

- A Interest rates are set by government. *No, by central bank, also unrelated to the question*
- ☒ B Profit is what is left after interest, rent and wages are subtracted from total income. *Correct*
- C Rent is only the return to the factor and so is always the smallest. *Not always*
- D Wages only change annually. *No*

Fixed cost and variable cost, some change and some don't.

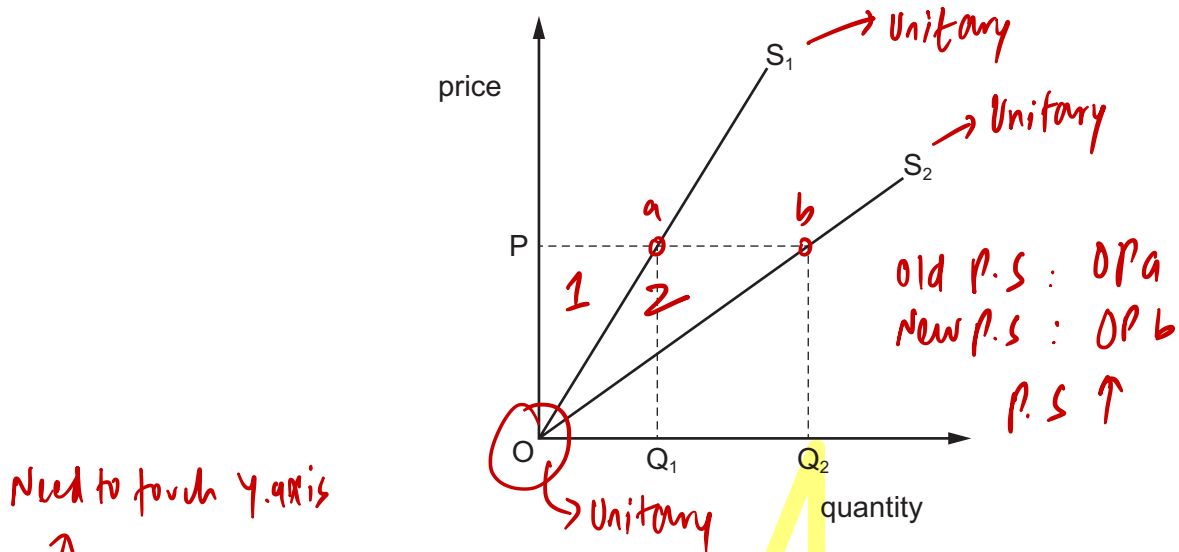
6 Changes in the market for gasoline (petrol) in Zimbabwe resulted in fuel shortages and long queues.

Which combination of changes would have been certain to cause this situation?

	↑ demand for gasoline	supply of gasoline ↓
A	decreased	decreased
B	decreased	increased
☒ C	increased	decreased
D	increased	increased

*Demand ↑ → shortage
Supply ↓ → shortage*

- 7 The diagram shows the movement of the supply curve for a product from S_1 to S_2 .



At price P, what happens to the price elasticity of supply for the product and the producer surplus when the supply curve moves?

	price elasticity of supply	producer surplus
A	more elastic	decreases
B	more elastic	increases
C	unchanged	decreases
D	unchanged	increases

→ If Supply ↓

- 8 The tables show the different quantities of a good demanded at different prices and levels of income.

price \$	quantity demanded
5	9
4	10
3	20
2	40
1	120

income \$	quantity demanded
48	120
24	40
16	20
10	10
8	9

High price

PED: 0.5 (<1)

20% { 9 10 } 11.1

PED: 4 (>1)

50% { 40 120 } 200

50% { 120 40 } 66.6

YED: 1.33 (>1)

YED: 0.5 (<1)

low income

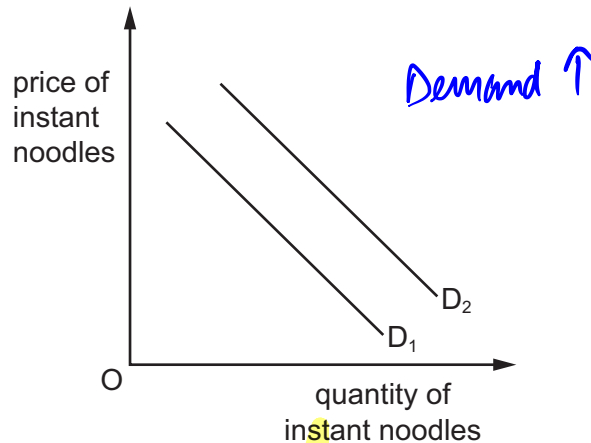
Within the range of these figures, when are both price elasticity of demand and income elasticity of demand for this good inelastic?

- A** when price is low and income is high
B when price is high and income is low
C when price and income are both high
D when price and income are both low

See shaded calculation

- 9 In Asia, instant noodles is an inferior good because dried fruit is a better quality substitute.

The diagram shows the demand for instant noodles.

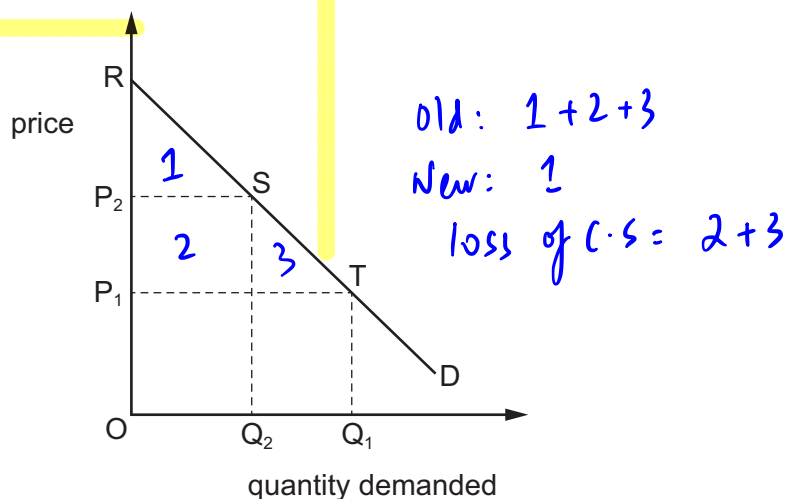


People prefer dried fruit
(Demand ↑)

What could have caused the shift in the demand curve for instant noodles from D_1 to D_2 ?

- A** a fall in the price of dried fruit $D \downarrow$ (instant noodles)
B a rise in real income $Y \uparrow, D \downarrow$ (instant noodles)
C a rise in unemployment $\text{Income} \downarrow, D \uparrow$ (instant noodle), inferior
D a successful advertising campaign by dried fruit producers $D \downarrow$ (instant noodle)

- 10 The diagram shows the impact of an increase in the price of a product from P_1 to P_2 .



Which area represents the consumer surplus after the price change?

- A** P_1P_2ST **B** P_2RS **C** $ORSQ_2$ **D** OP_2SQ_2

loss of C.S

Area 1

willingness at Q_2

Total revenue /
Total expenditure area
 $TR = P \times Q$

Shift

Complementary

11 Which reason for the increase in demand for a smartphone is an example of joint demand?

A a fall in its price *Movement*

☒ B a fall in the price of connecting to a network, *-ve relationship between price of one good and demand of other.*

C a fall in the price of parts used to make smartphones, *cost ↓, supply ↑*

☐ D a rise in the price of a substitute
↳ concept of substitutes, not of joint demand.

12 A market is in equilibrium. The government intervenes by creating a price floor below which the market price cannot fall.

Minimum price

Which term describes this form of government intervention?

A maximum price *(Below equilibrium)*

☒ B minimum price *(Above equilibrium)*

C subsidy, *S ↑, P ↓*

D unit tax, *S ↓, P ↑*

Price control

13 What is an example of a public good?

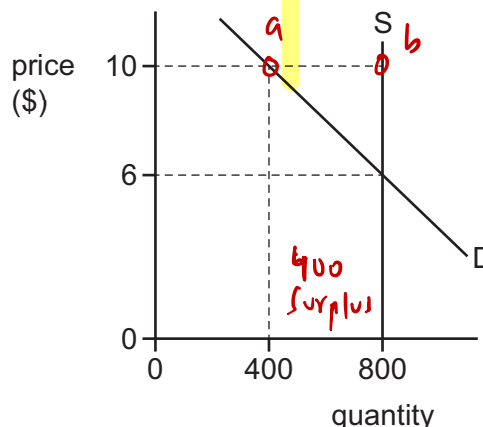
A a new road linking a major city with a port, *toll charges, overcrowding*

B free lunches provided to students at a school *Rival, also someone paid for it*

C Wi-Fi (internet access) provided for all the citizens of a town *Private good*

☒ D state provision of a national defence system *Non-rival, and Non-excludable*
↳ pure public good

14 The diagram shows an initial market equilibrium for an agricultural product of \$6 and 800 units.



$400 \times 10 = 4000$

How much will the government have to spend to increase the market price to \$10?

A \$1600

B \$2400

C \$3200

☒ D \$4000

↳ To maintain, buy the surplus at targeted price.

15 Which government policy will increase aggregate demand?

- A raising indirect taxation $cost \uparrow, AD \downarrow$
- ☒ B reducing the budget surplus $G \uparrow, Tax revenue \downarrow : \text{Expansionary} : AD \uparrow$
- C removing domestic subsidies $cost \uparrow, AD \downarrow$
- D removing import quotas, more imports, $AD \downarrow$.

16 The table gives the value of the price index of an economy in two years.

year	price index
1	60
2	120

→ Rate of inflation

100%.

Nominal/Money GDP.

What can be concluded about the period?

- A Nominal income doubled.
- B Real income doubled.
- ☒ C The cost of living doubled.
- D The standard of living doubled.

No data available (GDP and rate of inflation required)

Rate of inflation $\uparrow$, so S.O.L $\downarrow$,
importantly alot of factors required
to conclude on S.O.L.

17 What causes a rise in cost-push inflation?

- A a fall in the rate of income tax, $Disposable income \uparrow, C \uparrow, AD \uparrow$
- B a rise in the rate of income tax, reverse option A.
- ☒ C a depreciation of the exchange rate, $M \uparrow, price \uparrow, inelastic, M(TE) \uparrow, cost \uparrow, cost push$
- D an appreciation of the exchange rate, cheaper imports, $Expensive exports$, Trade deficit, $AD \downarrow$

18 Which change affecting an economy's labour force will cause an increase in economic growth in the short run?

- A an increase in students entering university $long run$
- B an increase in the birth rate $Doesn't affect labour force immediately$
- ☒ C an increase in the immigration of skilled labour $More people entering$
- D an increase in the school leaving age $long run$

↳ more educated labour force

$$GNI = GDP + \text{net factor income from abroad}$$

8

* Net income includes income earned by citizens abroad minus income earned by foreign residents within the country.

19 Which factor explains the difference between GDP and GNI?

- A foreign investment in the domestic automobile industry
- B revenues received from exporting capital goods
- C revenues received from exporting consumer goods
- ✓ D salaries remitted by those working abroad to their home accounts

20 What is true about a government's macroeconomic objectives?

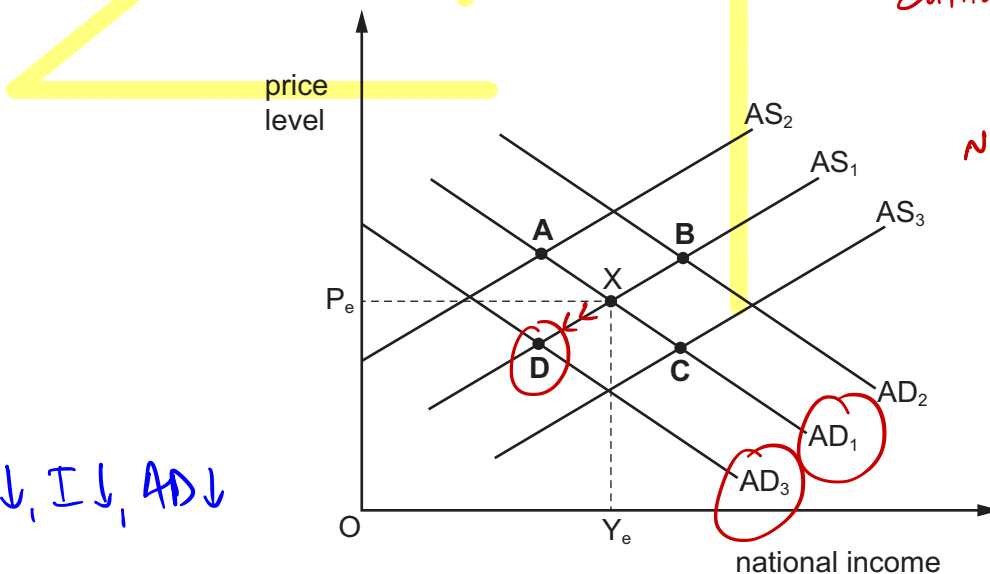
- A Economic growth ensures a more even distribution of income. It results in uneven distribution
- B Increasing output ensures that more workers are employed. Not always, e.g. capital intensive
- ✓ C Choosing between macroeconomic objectives requires a normative decision. opinion / value judgements
- D A stable rate of inflation means zero inflation is required. No.

↳ Stable rate represents controlled rate, Read the word 'Rate'

21 The original equilibrium in the economy is represented by point X, the intersection of AD_1 and AS_1 , on the AD/AS diagram shown.

The government decreases the money supply. contractionary monetary policy → $M^s \downarrow, R \uparrow, C \downarrow, I \downarrow, AD \downarrow$

What is the new equilibrium point?



Initial equilibrium,
 $AD_1 = AS_1$

New Equilibrium,
 $AD_2 = AS_1$

At: D

$R \uparrow, C \downarrow, I \downarrow, AD \downarrow$

Circulation of notes and coins

22 How does a government use its central bank to promote an expansionary monetary policy?

- A increasing interest rates for commercial banks
- B increasing the interest rate on the national debt
- C restricting bank credit for consumer durables
- ✓ D increasing the issue of notes and coins in circulation

All are related to contractionary monetary policy

↳ less loans issued, $C \downarrow, I \downarrow$

Expansionary policy will lead to hyperinflation in a situation of demand pull.

Expansionary policy

9

23 Which combination of problems would be most likely to cause a country's government to reduce taxation and lower interest rates?

A demand-pull inflation and a balance of payments current account deficit

B demand-pull inflation and a low level of investment

C high unemployment and a balance of payments current account deficit

D high unemployment and a low level of investment

Lower Taxes, spend ↑, import ↑, outflow ↑, deficit ↑

Tax ↓, C ↑, AD ↑, unemployment ↓, R ↓, cost of borrowing ↓, I ↑

24 What would be the best policy for a country to reduce a balance of payments deficit?

A an increase in interest rates

B an increase in the exchange rate

C a reduction in direct taxes

D a reduction in subsidies to domestic industry

Expenditure dampening policy, R ↑, spend ↓, M(TE) ↓, outflows ↓

Appreciation, M price ↓, outflows ↑

Tax ↓, disposable income ↑, C ↑, M(TE) ↑, outflows ↑

Exports uncompetitive, inflows ↓, deficit ↑

25 A government wants to protect its textile industry from imports.

Which policy is likely to have the least impact on the import of textiles?

A a ban on the import of textiles

B a sales tax on all textiles sold in the country

C a tariff on the import of textiles

D all textiles sold in the country are required to meet minimum quality standards

Most impact

Not a protectionist policy

Most impact

Most impact

Making domestic textile expensive

Net incomes

26 A major European economy announced that the primary income account deficit of its balance of payments changed from \$20 billion to \$50 billion.

What would have contributed to this change?

A an increase in the value of imported medical supplies

B an increase in investment dividends paid to foreigners

C a reduction in the value of exported manufactured goods

D a reduction in the expenditure by visiting tourists

affects Balance of trade

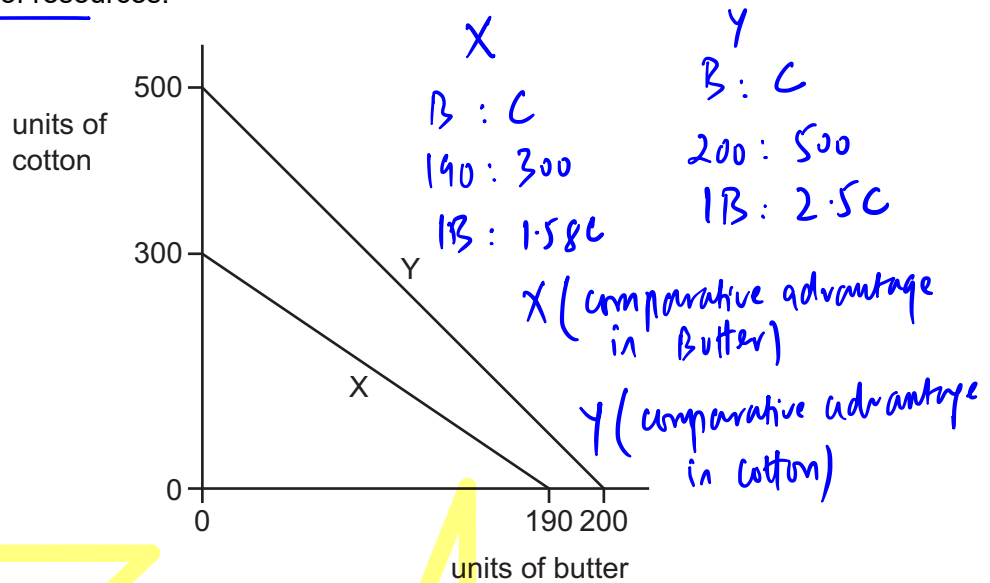
outflow from primary income ↑

affects Balance of trade

affects Balance of trade

Dividends are recorded in primary income.

- 27 The diagram shows the amounts of cotton and butter that can be produced in countries X and Y with a given quantity of resources.



What can be concluded from the diagram?

- What can be concluded from the diagram? *No, country Y has, $500 > 300$*
- A Country X has an absolute advantage in the production of cotton. *No*
 - ☒ B Country X has a comparative advantage in the production of butter. *Yes, lower opportunity cost.*
 - C Country Y has a comparative advantage in the production of both goods. *No, only in cotton*
 - D There are no gains from trade between these two countries. *There are as ratios are different.*
- 28 What is indicated by an economy's terms of trade?
- A the degree of its dependence on imports *No*
 - B the international competitiveness of its exports *No*
 - ☒ C the purchasing power of its exports relative to its imports *Correct*
 - D the relative strength of its currency in the foreign exchange market *No country's exports in terms of its imports.*
- Terms of trade = $\frac{\text{Index of Export price}}{\text{Index of Import price}} \times 100$
- It measures the relative price of a country's exports in terms of its imports.*

- 29 What will cause an increase in the demand for the US dollar(\$)?

- A dividends paid from US firms to foreign shareholders *Supply $\uparrow$*
 - ☒ B foreign firms buying US firms *Investment $\uparrow$, demand $\uparrow$*
 - C foreigners who live in the US sending money home to their relatives *Supply $\uparrow$*
 - D the US government wanting to hold reserves of foreign currency *money leaving*
- ↳ Demand for foreign currency $\uparrow$*
↳ means, Supply $\uparrow$

30 What is not included in the current account of the balance of payments?

A international aid *Secondary income (Net transfers)*

B trade in goods *] Balance of Trade*

C trade in services

☒ D foreign direct investment *(financial account)*